

The next step is finding out what retirement fund you've been set up with. For most of us this is usually set at a basic balanced fund. Some governments will go out of their way to choose this for you, keeping you in the most conservative fund just in case. However, a balanced or conservative fund isn't always the best fund for you.

If this is a retirement account, usually you don't need this money any time soon, so you may want to choose a growth account, or if you'd prefer less risk, then a balanced account might be a better option. The third option is for those who aren't comfortable with much risk and therefore are okay with less reward. This is when a conservative account comes in.

You may question why you should invest into these accounts when you can just invest that money in the stock market, right? It's that 100 per cent ROI that is important. Also, this money is usually inaccessible until you're 65, or at least until you have a life-altering situation where you need money to get you through an illness. In some countries you can also pull this money out to buy your first home. The benefit of having this fund is that it acts as a literal barrier between us and our money. Sometimes it's a good thing to not have access to it and to let it compound over time until we need it.

Research which retirement option to go with, as there are so many out there. In some countries like New Zealand where it's not compulsory (unlike Australia), you may find that you're not investing into one at all, or that the one you're in isn't aligned with the amount of risk you're comfortable with.

Congratulations! You now have your first 5 bricks laid out. These are going to be the foundation of your financial future. When it comes to investing in the stock market, investors in training know the importance of having these foundations rock solid before they begin. It's tempting to invest before ticking these off, but I highly recommend you take one evening this week to tick these off — you can get it done in two uninterrupted hours. Investing is a marathon, and if it's an activity you're going to do for the rest of your life, it pays to set it up right before you begin.